CLEAN MAX ENVIRO ENERGY SOLUTIONS

CLEANMAX · Clean Energy · C&I Renewable Energy

WHAT CLEANMAX DOES

Founded 2011 by Kuldeep Jain, CleanMax is India's largest pure-play C&I renewable energy provider — builds and operates captive solar, wind and hybrid projects for corporates under long-term PPAs averaging 23 years. Serves 555+ customers across 7+ states with 3.1 GW operational and 5.7 GW contracted capacity.

Revenue is annuity-based: CleanMax builds assets on its balance sheet and sells power under fixed-price PPAs. Hyperscalers (Meta ~900 MW June 2026, Apple 150 MW co-investment) now represent 42% of contracted book — up 10x in two years — providing higher-tariff, long-duration demand certainty.

> *"Equity payback for assets built in FY22-FY25 is ~2.5 yrs vs. a lifetime average of 3.4 yrs."*
> *— Kuldeep Jain, CEO, Q3 FY26 Concall*

INVESTMENT THESIS

COMPOUNDER

CleanMax converts capex into long-duration annuity EBITDA via 23-year PPAs — a toll-road model in India's most supply-constrained power segment. FY26 delivered record adjusted EBITDA ₹1,295 Cr (+28%) and a run-rate EBITDA of ₹1,870 Cr, underpinned by 1,400 MW commissioned. The hyperscaler pivot is the key re-rating catalyst: data-center clients pay ₹3.8/unit, sign larger PPAs, and prioritise power certainty over price — compressing equity payback to 2.5 yrs vs. industry 7x capex/EBITDA norm. FY27 >1.5 GW is 100% contracted at inception with 70-80% land secured, giving unusually high near-term visibility. Key risks: Net Debt ₹12,684 Cr (~5x run-rate EBITDA), Bikaner grid curtailment (~30%), ALMM module cost inflation.

KEY METRICS

KPI	LATEST	1Q AGO	TREND
FY27 Capacity Target	>1,500 MW	1,274 MW	**Upgraded**
Adj. EBITDA Margin	83%	81%	**Improving**
Contracted Portfolio	5.7 GW	5.5 GW	**Improving**
Run-Rate EBITDA	₹1,870 Cr	₹1,400 Cr	**Expanding**
Data & AI % of Book	42%	30%	**Improving**
Avg. Borrowing Cost	8.5%	9.2%	**Improving**

GROWTH TRIGGERS

- >1,500 MW FY27 addition; 100% contracted at start of year, 70-80% land secured, construction active.
- Hyperscaler segment (42% of 5.7 GW book) grew 10x in 2 yrs; long-duration 25-yr PPAs at ₹3.8/unit.
- Meta ~900 MW partnership (solar+wind, Rajasthan & Karnataka) announced June 2026 — India's largest C&I deal.
- Apple ₹104 Cr co-investment for 150 MW portfolio; replicable premium-client co-funding model.
- Osaka Gas (CORE) JV — 51% owned, ₹176 Cr investment; reduces equity funding pressure.
- 2.7 GW CWIP commissioning in H1 FY27 will push run-rate EBITDA significantly above ₹1,870 Cr.
- Power-sales EBITDA margin target 85-86% in 2-3 yrs from 83%; SG&A now 10% vs 18% in FY23.
- Borrowing cost: 9.46% Mar'24 → 8.5% FY26; CARE rating upgraded to AA-/Stable May 2026.
- 76% repeat order rate; 83% of clients AA/AAA or MNC — near-zero credit risk, DSO 22 days.
- Energy storage investments to mitigate Bikaner curtailment and unlock stranded EBITDA.
- ALMM tariff hikes (7-10%) successfully passed to customers — pricing power confirmed.

KEY RISKS

- **Grid Curtailment — Bikaner CTU.**
  525 MW CTU project in Rajasthan experiencing ~30% curtailment as transmission upgrades lag commissioning. PPAs carry no compensation clause for grid-forced outages, so all revenue risk sits with CleanMax. Resolution expected Oct-Dec 2026 but is outside management control.
- **High Leverage & Thin Interest Cover.**
  Net Debt ₹12,684 Cr (~5x run-rate EBITDA). Finance costs + depreciation consumed ~98% of Q3 FY26 EBITDA. Interest cover 1.17x. Any CWIP slippage (₹5,339 Cr under construction) could strain the 5.5x leverage target and pressure the thin PAT margin.
- **ALMM & Module Cost Inflation.**
  Post-ALMM (June 2026) solar module prices rose 7-10%. While CleanMax passed costs on, sustained inflation could slow contract formation or compress new-project economics in a competitive C&I landscape.
- **Regulatory & Cross-Subsidy Risk.**

PROMISE TRACKER

4/5 · Delivered / On Track

FY26 execution matched guidance; FY27 pipeline already de-risked by contracting.

AREA	PROMISE VS EVIDENCE	VERDICT
Revenue Growth	Guided 25-28% YoY → Delivered 28% FY26 growth (₹1,913 Cr vs ₹1,496 Cr)	**Delivered**
Capacity Addition	Guided ≥1 GW FY26 → Commissioned 1,400 MW; contracted book at 5.7 GW	**Delivered**
Borrowing Cost	Targeted sub-9% cost → Achieved 8.5% by FY26 (vs 9.2% in FY25)	**Delivered**
Margin Expansion	Power-sales EBITDA target 83%+ → Reached 83% in 9M FY26; on track	**On track**
FY27 Pipeline	>1.5 GW guided; 100% contracted, 70-80% land acquired, construction active	**On track**

VALUATION

₹ CR

METRIC	FY26A	FY27E	FY28E	FY29E
Total Revenue	1,913	2,500	3,250	4,100
EBITDA Margin %	59%	61%	62%	63%
PAT (₹ Cr)	86	185	310	475
Forward PE	187x	87x	52x	34x